



Republic of the Philippines
Province of Sorsogon
MUNICIPALITY OF PRIETO DIAZ
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Office of the Sangguniang Bayan

EXCERPT FROM THE MINUTES OF THE REGULAR SESSION OF THE 11TH SANGGUNIANG BAYAN OF PRIETO DIAZ, SORSOGON HELD ON APRIL 28, 2025 AT THE MDRMO EMERGENCY OPERATIONS CENTER (EOC), THIS MUNICIPALITY

PRESENT:

Hon. Avon D. Domalaon, MPA	Municipal Vice Mayor/Presiding Officer
Hon. Jo Madel D. Domalaon	S. B. Member
Hon. Bienvenido D. Ayo, Jr.	S. B. Member
Hon. Luis Lee E. Espeña, Jr.	S. B. Member
Hon. Alice D. Emano,	S. B. Member
Hon. Juan D. Ebid	S. B. Member
Hon. Albert D. Destura	S. B. Member
Hon. Joseph H. Yap, Jr.	S. B. Member
Hon. Antonio J. Emano, Jr.	LnB Pres./S. B. Member
Hon. Rene Joseph D. Domasian	SKMF Pres./S. B. Member

ABSENT:

Hon. Rodolfo E. Diolata	S. B. Member/ on leave
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RESOLUTION NO. 073-2025

Introduced by the council

A RESOLUTION AUTHORIZING THE MUNICIPAL MAYOR, HON. ROMEO D. DOMASIAN, TO ENTER INTO A MEMORANDUM OF AGREEMENT (MOA) WITH GUBAT ST. ANTHONY COOPERATIVE (GSAC), REPRESENTED BY ITS CHAIRMAN OF THE BOARD, MR. RENE B. HERMO, FOR THE AVAILMENT OF GSAC'S AUTOMATIC DEDUCTION PAYROLL SYSTEM (ADPS) LOAN PROGRAM FOR GOVERNMENT EMPLOYEES OF THE MUNICIPAL GOVERNMENT UNIT OF PRIETO DIAZ, SORSOGON

WHEREAS, GSAC is a duly registered cooperative engaged in the business of lending funds to its regular / associate members, willing to extend loan program to government employees, subject to terms and conditions;

WHEREAS, as per MOA, the individual borrower must be, among others, a regular member of GSAC; must be under permanent status; must have a net take-home pay of P 5000.00 after deduction of the monthly amortization of the loan applied for, among others;

WHEREAS, GSAC shall submit to LGU Prieto Diaz the billing statement every 5th of the month, while the latter shall remit to the former, on a monthly basis the deductions with 5 days after each payroll month;

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WHEREAS, on motion of Hon. Albert Destura, duly seconded by Hon. Juan Ebid;

NOW, THEREFORE, be it as it is;

HEREBY RESOLVED, to authorize the Municipal Mayor, Hon. Romeo D. Domasian, to enter into a Memorandum of Agreement (MOA) with Gubat St. Anthony Cooperative (GSAC), represented by its Chairman of the Board, Mr. Rene B. Hermo, for the availment of GSAC's Automatic Deduction Payroll System (ADPS) loan program for government employees of the Municipal Government Unit of Prieto Diaz, Sorsogon;

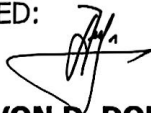
FINALLY RESOLVED, to transmit this resolution to Hon. Romeo D. Domasian, Municipal Mayor; copy furnished Ms. Gemma Ferrer, Municipal Treasurer; Ms. Maribel Aldon, Municipal Accountant; Mr. Christian Lloyd Golena, MHRMO and all concerned for their information and appropriate action;

APPROVED UNANIMOUSLY.

I HEREBY CERTIFY TO THE CORRECTNESS OF THE FOREGOING.


BERNADETTE R. ESPEÑA-YAO
Secretary to the Sangguniang Bayan

ATTESTED:


Hon. AVON D. DOMALAON, MPA
Municipal Vice Mayor/Presiding Officer



Keeper of your Trust

GUBAT ST. ANTHONY COOPERATIVE

Corner Luna and Quezon Streets, Gubat, Sorsogon

CDA Reg. No. 9520-05000889 | TIN 005-767-597

Email: secretariat@gsac.coop | Website: gsac.coop

MEMORANDUM OF AGREEMENT

KNOW ALL MEN BY THESE PRESENTS;

This Memorandum of Agreement was entered into by and between:

GUBAT ST. ANTHONY COOPERATIVE, a cooperative duly registered with the Cooperative Development Authority, with its main office at Cor. Luna and Quezon Sts., Gubat, Sorsogon, represented herein by its Chairman of the Board, **RENE B. HERMO** of legal age, Filipino, married and a resident of Luna Candol, Gubat, Sorsogon, hereinafter known as the **FIRST PARTY**;

- and -

The **LOCAL GOVERNMENT UNIT (LGU) OF PRIETO DIAZ, SORSOGON** is a government office with postal address at Brgy. Perlas Prieto Diaz, Sorsogon, represented by its Municipal Mayor **ROMEO D. DOMASIAN**, and Municipal Vice Mayor **AVON D. DOMALAON** both of legal age, Filipinos, and married, hereinafter known as the **SECOND PARTY**.

WITNESSETH THAT:

WHEREAS, the **FIRST PARTY** is a duly registered cooperative engaged in the business of lending funds to its regular/associate members;

WHEREAS, a special loan window which is called **APDS (Automatic Deduction Payroll System) LOAN PROGRAM FOR GOVERNMENT EMPLOYEES** was thought of to tide them over during financial hardship;

WHEREAS, this arrangement was properly explained by the cooperative to these employees and they were amenable to the agreement;

WHEREFORE, for and in consideration of the foregoing, the parties hereby agree:

I. OBLIGATIONS OF THE FIRST PARTY:

1. To conduct a thorough background and credit information on the credit standing of the employees of the **SECOND PARTY**;
2. To extend loan to the employees of the **SECOND PARTY** subject to such terms and conditions hereto attached and signed by the Head of Office chosen to represent the Employees, and to attest to the fact that the terms and conditions have been properly discussed and understood by the Employees; and
3. To orient the employees of the **SECOND PARTY** regarding the process and loan availment.

II. OBLIGATIONS OF THE SECOND PARTY:

1. Warrants the following qualifications of an individual employee borrower, to wit:

- a) Must be a regular member of GSAC. New members are allowed to loan provided she/ he shall complete all the requirements of a Regular Member.
 - b) Must be an employee with permanent status, and receiving salary and allowances;
 - c) For existing members, she/ he must have no overdue account with GSAC, otherwise, this shall be paid out by the member before the release of the loan.
 - d) Must be at least 18 years old at the time of loan application.
 - e) Must have a net take-home pay or remaining salary of Php 5,000.00 after deduction of the monthly amortization of the loan applied for.
2. To submit certification that the employee is receiving the specific salary per month and his/ her designation, certified by the HR officer;
 4. Ensures that the employee shall maintain the specific net take home pay indicated in this agreement until the loan is fully paid;
 5. To ensure that the remittance shall be made in accordance with proper government auditing procedures; and
 6. Once the employee will be transferring in different regional office, other government agencies, resigned or terminated, the SECOND PARTY shall inform/notify the FIRST PARTY.
 7. The APDS (Automatic Payroll Deduction System) LOAN PROGRAM FOR GOVERNMENT EMPLOYEES may also apply to member-employees of SECOND PARTY who have an existing loan obligation with the FIRST PARTY prior to the execution of this agreement. In such case, FIRST PARTY shall then coordinate with the HR Officer of the SECOND PARTY to effect the APDS and its necessary changes on the subsisting contractual loan of the member-employees provided that the employee shall reapply the loan and pay all pertinent fees to the reapplication.

III. LOAN FEATURES

A. Loanable Amount

Maximum loanable amount of P1,000,000 payable in 12, 24, 36, 48, or 60 months, depending on the borrower's Net Take Home Pay (NTHP). Only the amount in excess of the minimum five thousand pesos (Php5,000.00) NTHP be considered for loan amortization.

B. TERM AND INTEREST RATE

TERM	INTEREST RATE
12 months and below	9%
More than 12 months to 36 months	12%
More than 36 months to 60 months	15%

C. FEES AND RETENTIONS

SERVICE FEE and OTHER CHARGES: 6%

Insurance fee amounting to Php 0.45 per 1,000.00

RETENTIONS:



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- a. Damayan II Fund of six hundred pesos (Php600.00) for new borrowers or the actual amount for replenishment for re-loan or lifetime Damayan of Php 5,600;
- b. Savings Build-Up of five hundred pesos (Php500.00); and
- c. Share Capital equivalent to 1% of loan amount.
- d. Non-members who opted to avail of the module are required to make the full payment of the initial Subscribed Capital of Four Thousand Pesos (Php4,000.00). It can be deducted to the proceeds of the loan or may be paid through over the counter.

IV. DOCUMENTARY REQUIREMENTS

a. For existing member:

- Duly accomplished loan Application Form for APDS program
- Latest Original Pay Slip duly certified by HR OFFICE.

b. For prospective regular-member applicant:

- Application for membership
- Service Record
- 2 pcs 1x1 ID Picture
- Barangay Clearance
- Community Tax Certificate
- Duly accomplished Loan Application Form for APDS program
- Latest Original Pay Slip duly certified by HR OFFICE

- a. Co-maker: ONE co-maker's signature is required on the application form, who is a regular employee of the same government and non-government agency. Employees are only allowed to be a co-maker once.

V. GRANTING OF LOANS

1. The FIRST PARTY shall exert all efforts to examine the authenticity of documents submitted by the SECOND PARTY.
2. The FIRST PARTY may approve a loan only upon certification by the HR Officer.
3. The FIRST PARTY shall ensure that every loan is fully documented with a completely filled out Authority to Deduct, Promissory Note, and Disclosure Statement.
4. Additional Loan Applications are not allowed. The employee may renew his/ her loan provided that:
 - a. the outstanding balance of the loan shall be at least 30%.
 - b. the existing loan shall be fully paid or may be deducted from the proceeds of the new applied loan.

VI. BILLING OF LOANS

1. The FIRST PARTY shall consolidate all loan accounts granted within a month into one billing.
2. The FIRST PARTY shall be responsible for submitting monthly billings to the SECOND PARTY and checking and retrieving any returned billings.



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3. The FIRST PARTY shall be submitting the Billing Statement of the Loan Dues every 5th of the Month
4. The SECOND PARTY shall remit to FIRST PARTY on a monthly basis, the authorized deductions, within five (5) working days after each payroll month. Remittance may either be of the following modes:
 - 4.1 intra- or inter-bank fund transfer, GSAC will shoulder the service charge if any, for setting up the fund transfer.
 - 4.2 Through check issuance, GSAC-assigned personnel will pick up the remittance check from the SECOND PARTY within the succeeding month after the deductions were effected in the payroll. Otherwise, the preparation of succeeding checks will be suspended until the prepared check is picked up. Any request for replacement of stale checks shall be supported by written justification from the FIRST PARTY.

VII. REMITTANCES

1. The FIRST PARTY shall pay the SECOND PARTY of half of one percent (0.5%) of the total monthly collection, which shall be automatically deducted from their collection before remittance.

VIII. OVER THE COUNTER PAYMENTS

1. FIRST PARTY shall not refuse to accept tender of payment made in advance, whether partial or in full, or in the case of buy-out, accept payment directly from the other lender provided that it is with a written consent from the borrower. Invoice shall be issued in both cases.
2. In case of advance payment, the FIRST PARTY shall collect the full amount in accordance with the amortization schedule.
3. In case of advance payment in full, the lender shall, in addition to the Invoice, issue a Certificate of Full Payment of Loan (CFPL) to the borrower, free of charge, and send a corresponding written request to the HR office concerned for the stoppage of deduction in the next payroll month, with the copies of issued Invoice and CFPL attached.

IX. DEFAULT IN PAYMENT

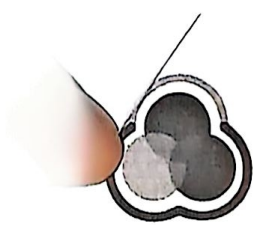
Penalty (Fines and accrued interest) is at 12% per annum. For any instance of default in payment, MB is required to make an over-the-counter payment inclusive of penalties and fines.

X. TERMINATION CLAUSE

This Agreement shall remain effective until terminated as to any party, for or without cause, upon thirty (30) days written notice to the other.

IN WITNESS WHEREOF, the parties have hereunto set their hands this _____, at Gubat, Sorsogon, Philippines.

GUBAT ST. ANTHONY COOPERATIVE



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FIRST PARTY

Represented by:

ENGR. RENE B. HERMO

ID No. _____

Date of Issue _____

Place of Issue _____

SECOND PARTY

Represented by:

ROMEO D. DOMASIAN

MUNICIPAL MAYOR

ID No. _____

Date of Issue _____

Place of Issue _____

AVON D. DOMALAON

MUNICIPAL VICE MAYOR

ID No. _____

Date of Issue: _____

Place of Issue: _____

-ACKNOWLEDGMENT-

REPUBLIC OF THE PHILIPPINES)

MUNICIPALITY OF GUBAT) S.S.

PROVINCE OF SORSOGON)

BEFORE ME, this _____ at Gubat, Sorsogon, Philippines,
personally appeared RENE B. HERMO, representing Gubat St. Anthony Cooperative, and
_____ representing the _____

_____ with
their Competent Evidence of Identification indicated above, all known to me and to me known to
be the same persons who executed the foregoing instrument and acknowledged before me that the
same is their own free act and voluntary deed.

WITNESS MY HAND AND SEAL.

Doc. No. _____;

Page No. _____;

Book No. _____;

Series of _____.